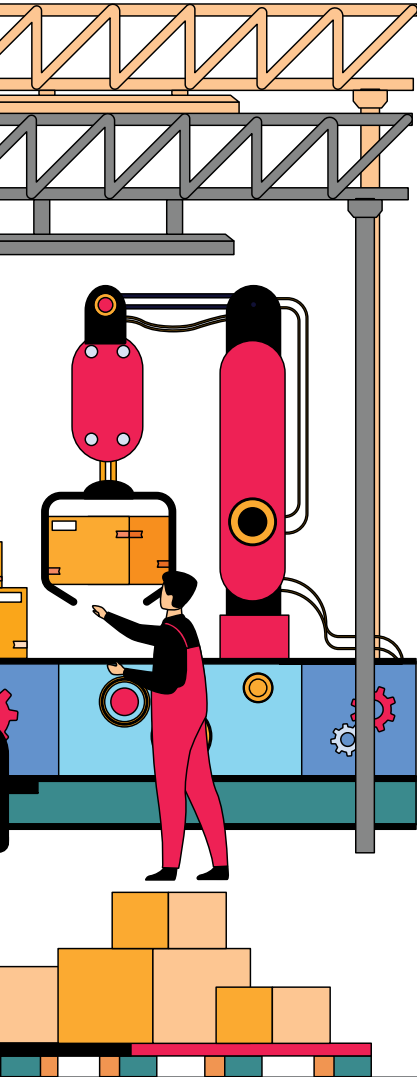
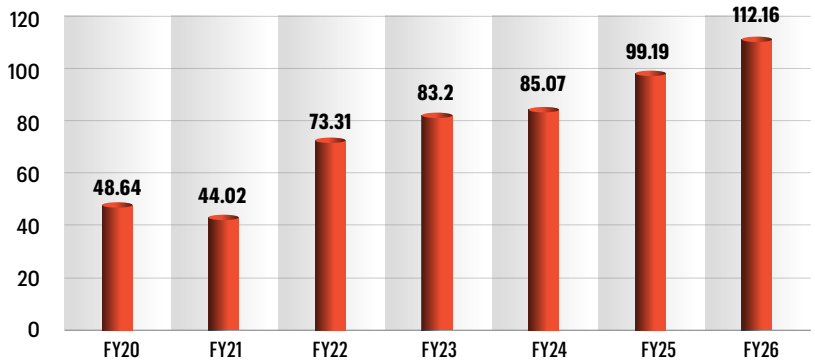




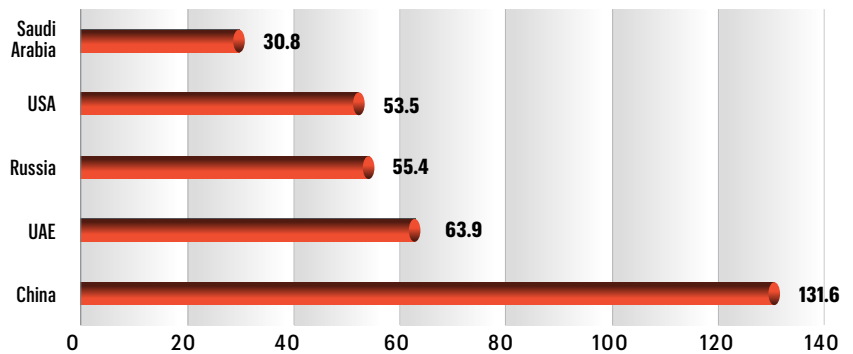
RELIANCE ON CHINA

• India's trade deficit with China has risen significantly over the years

Figures in \$ billion



India's top import sources by country in FY26 (\$ bn)



SOURCE DEPARTMENT OF COMMERCE

The classic example, he says, is of the electronics sector, where India had good domestic capabilities and companies in the 1990s. But in 1997, India signed the Information Technology Agreement at the WTO and committed to eliminating tariffs on a large range of electronic products, effective from 2000, Dhar says. That impacted the domestic sector, which was rising and needed support.

“We did this across sectors, including edible oil, where we were self-sufficient until the late-1980s and then in the 1990s, the government decided to start importing palm oil,” he contends.

Similar instances exist across sectors, where the government did not first strengthen domestic capabili-

ties. As a result, the country has a huge import dependency in such items now.

Over the past few years, manufacturing seems to have gained some priority, and the Production Linked Incentive (PLI) scheme has garnered interest and hard investments, albeit in a few sectors.

Senior government officials underlined that the scheme has had a fair amount of success in garnering investments, scaling domestic manufacturing and creating jobs. As a measure of success, they point out that several ministries and sectors have been clamouring for the incentives, which are at present limited to only 14 sectors.

The scheme was launched in 2020 with an incentive of ₹1.91 lakh crore. A Right to Information application by BT